

Hotel Reservation System – Reservation Policies Specification

This document defines the **rules, constraints, and policies** governing reservations, cancellations, payments, and guest interactions.

1. General Reservation Policies

1.1 Reservation Types

- Standard Reservation:** Requires payment within **24 hours** of confirmation.
- Non-Refundable Reservation:** Discounted rate with **no cancellation/refund eligibility**.
- VIP/Corporate Reservation:** Follows custom rules (see **Section 5**).

1.2 Reservation Validity

- Reservations expire if:
 - Pending Confirmation:** No action for **1 hour**.
 - Awaiting Payment:** No payment within **24 hours** (standard) or **72 hours** (VIP).
 - No-Show:** Check-in missed by **24 hours** post-arrival date.

2. Cancellation Policies

2.1 Guest-Initiated Cancellation

Timing	Refund Amount	Notes
>48h before check-in	100% refund	Full refund processed within 5 business days.
24–48h before check-in	50% refund	Partial refund; cancellation fee = 50% of booking total.
<24h before check-in	0% refund	Exceptions: Hotel-initiated cancellations (e.g., maintenance, overbooking).
Non-Refundable Booking	0% refund	Applies regardless of timing.

2.2 Hotel-Initiated Cancellation

- **Full refund** issued for:
 - **Overbooking**: Unable to reassign room/partner hotel.
 - **Maintenance Hold**: Room unavailable due to repairs.
 - **Policy Violation**: Hotel cancels due to fraud or invalid guest details.
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3. Payment Policies

3.1 Payment Deadlines

Reservation Type	Payment Window	Retry Attempts
Standard	24 hours	2 retries
Non-Refundable	24 hours	0 retries
VIP/Corporate	72 hours	3 retries

3.2 Payment Failure Handling

- **Failed Payments**:
 - System retries according to reservation type (see table above).
 - After final failure: Reservation transitions to **Cancelled**.
 - **Refunds for Payment Errors**:
 - Automatically processed if payment succeeded but reservation invalid (e.g., overbooking).
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4. Dynamic Pricing Policy

4.1 Price Adjustment Rules

- **Base Price**: Determined by room type, season, and demand.
- **Extensions**:
 - $\text{New price} = (\text{Original daily rate} \times \text{remaining days}) + (\text{Current daily rate} \times \text{extended days})$.
 - **Peak season surcharge**: +10% for extensions during high-demand periods.
- **Discounts**:
 - **Early-Bird**: 10% off for bookings made >30 days in advance.
 - **Last-Minute**: 15% off for bookings made <24h before check-in.

4.2 Price Lock Guarantee

- Once payment is received, prices are **locked** and immune to dynamic changes.

5. Overbooking Policies

5.1 Overbooking Resolution

- Prioritization Hierarchy:**
 - Loyalty Program Members** (highest tier first).
 - Early Bookings** (reservations made >60 days in advance).
 - Higher Room Tiers** (suites prioritized over standard rooms).
- Compensation Options:**
 - Upgrade:** Free room upgrade (if available).
 - Partner Hotel:** Relocation to pre-negotiated partner property.
 - Compensation Package:** 20% refund + 15% discount on future stay.

5.2 Guest Response Deadline

- Guests must respond to overbooking resolution offers within **6 hours**.
- No response → Reservation transitions to **Cancelled** with full refund.

6. VIP/Corporate Policies

6.1 Key Exceptions

Policy	VIP/Corporate Rule	Standard Rule
Cancellation Deadline	Up to 12h before check-in (no fee)	24–48h (50% fee)
Payment Window	72 hours	24 hours
No-Show Penalty	Partial refund (25%)	0% refund
Overbooking	Guaranteed room reassignment	Subject to prioritization

6.2 Dedicated Support

- Concierge Service:** VIP guests receive direct staff assistance for modifications.
- Priority Notifications:** Alerts sent 12h before deadlines (vs. 1h for standard).

7. No-Show & Check-In Policies

7.1 No-Show Penalties

- **Standard Guests:** Reservation forfeited; no refund.
- **VIP Guests:** 25% refund if check-in missed.
- **Automatic Transition:** Reservation moves to **Expired** after 24h.

7.2 Check-In Window

- Guests must check in by **2:00 PM** on arrival date.
 - Late check-in: Room held until **12:00 PM** the following day.
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8. Extension Policies

8.1 Extension Request Rules

- **Eligibility:** Only allowed during **In-Use** state.
- **Availability Check:** System verifies room availability for new dates.
- **Price Adjustment:** Follows dynamic pricing rules (see **Section 4**).

8.2 Extension Deadline

- Requests must be submitted **24h before original check-out time**.
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9. Maintenance Hold Policies

9.1 Room Reassignment

- System auto-reassigns guests to an equivalent or upgraded room.
- Guest notified via email/SMS with new room details.

9.2 Refund Eligibility

- If reassignment impossible: **Full refund** + 10% discount on future stay.
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10. Refund Processing

10.1 Refund Timeline

- **Credit/Debit Cards:** 3–5 business days.
- **Bank Transfers:** 5–7 business days.

10.2 Refund Method

- Refunds issued to original payment method.
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11. Policy Enforcement

- **Automated Enforcement:** System applies rules via state transitions (e.g., auto-cancellation for expired payments).
 - **Manual Override:** Hotel staff can override policies for exceptional cases (e.g., medical emergencies).
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